

CREDIT SUMMARY — BAJAJ FINANCE LIMITED

BSE: 500034 | NSE: BAJFINANCE | NBFC – Upper Layer (RBI SBR) | AAA/Stable (CRISIL, India Ratings)

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CFA Level II Candidate

Data Source: FY2025 Annual Report / Q4 Investor Deck

BUSINESS OVERVIEW

Bajaj Finance Limited (BFL) is India's largest and most diversified NBFC by AUM, operating under RBI's Scale-Based Regulation (SBR) Upper Layer. Classified as a Systemically Important NBFC-D, BFL spans six primary lending verticals: (1) Consumer B2C – EMI cards, personal loans, consumer durables financing; (2) SME Lending – business loans, LAP, working capital; (3) Commercial Lending – mid-corporate, lease rental discounting, auto ancillaries; (4) Rural – 10 loan products across 2,681+ towns via hub-and-spoke model; (5) Mortgages – via subsidiary Bajaj Housing Finance Ltd (BHFL, 51% owned post-IPO); (6) Payments & New Businesses – co-branded credit cards, gold loans, CVs, tractors. As of 31 March 2025, consolidated AUM stood at ₹4,16,661 crore with 101.82 million customers and 43.42 million new loans booked in FY2025. BFL's competitive moat lies in its cross-sell engine (deep franchise penetration), 4,263 branch locations, 70.6M-user Bajaj Finserv App, and risk-adjusted pricing discipline.

FINANCIAL SPREAD — CONSOLIDATED (₹ Crore unless noted)

Metric	FY2023	FY2024	FY2025
AUM (₹ Crore)	2,47,379	3,30,615	4,16,661
Net Interest Income (NII)	28,846	29,357*	36,393
Net Total Income (NTI)	—	36,250	44,954
Loan Losses & Provisions	3,190	4,631	7,966
Profit After Tax (PAT)	11,508	14,451	16,779
AUM Growth (YoY)	25%	34%	26%
PAT Growth (YoY)	64%	26%	16%
Gross NPA %	0.94%	0.85%	0.96%
Net NPA %	0.34%	0.37%	0.44%
CRAR (Tier I + II)	24.97%	22.52%	21.93%
Tier 1 Capital Ratio	23.20%	21.51%	21.09%
NIM (on avg. AUM)	~10.3%	~10.0%	10.1%
ROA (avg. assets)	~4.9%	~4.8%	4.57%
ROE (avg. equity)	23.5%	~19.1%	19.19%
Credit Cost (% avg. AUM)	~1.3%	~1.5%	~2.2%

* NII restated basis; FY2023 NII = consolidated from chairman letter. FY2024 NII from annual report. Credit cost FY2025 = ₹7,966cr / avg. AUM ~₹3,74,000cr. ROE FY2023 per chairman letter.

RISK ASSESSMENT

KEY RISK	MITIGANT
Unsecured Loan Concentration ~45% of AUM in unsecured B2C & SME. Rising credit cost to 2.2% in FY25 signals stress.	Conservative pricing, data-driven credit models, portfolio diversification into secured segments (mortgages, gold loans, CVs)
Regulatory / RBI Action Risk RBI imposed restrictions on two digital products in FY2024. SBR compliance obligations as Upper Layer NBFC.	Strong compliance culture; both products reinstated post-remediation. Capital and governance well above RBI norms.
Fintech & Bank Competition Aggressive lending by fintechs and banks in consumer space compresses yields; NIM compressed 49 bps in FY25.	Scale advantage, 101.82M customer franchise, proprietary data moat, and cross-sell engine provide durable pricing power.
Interest Rate & Liquidity Risk Cost of funds rose to 7.97%; borrowings at ₹3,61,249 crore are heavily market-linked (47% money markets).	~₹1B ECB raised (fully hedged); deposit target of 25% of borrowings; CRISIL AAA/A1+ ensures market access at best rates.

CREDIT OPINION

Suggested Rating	AAA / Stable (NBFC Issuer — INR borrowings)
Int'l Rating	S&P: BBB-/Positive Moody's: Baa3/Stable
Outlook	STABLE — credit profile intact; improving in FY26

Bajaj Finance remains India's strongest-rated NBFC and one of the most credit-worthy financial institutions in the country. Its AAA domestic rating is well-supported by a fortress capital position (CRAR 21.93%, materially above the 15% RBI floor), industry-best asset quality (GNPA 0.96%, Net NPA 0.44%), and consistent profitability across cycles (ROA 4.57%, ROE 19.19% in FY25). While FY2025 was a year of elevated credit cost — driven by macro deterioration in unsecured consumer segments and rising household leverage — management responded decisively with credit actions that are expected to normalise provisioning in FY2026. The 72% spike in loan losses to ₹7,966 crore is the primary credit concern near-term, partially offset by an ECL model refresh that front-loads future risk. The business model's structural strengths — 101M customer cross-sell engine, diversified 6-vertical lending platform, AAA market access, and a technology-first operating model — provide strong buffers. Deterioration watch: sustained unsecured NPA worsening beyond GNPA 1.5%, CRAR dropping below 18%, or a second round of regulatory sanction would be material negative triggers.

Strengths: CRAR 21.93% | GNPA 0.96% | ROA 4.57% | AAA-rated | AUM growth 26%
Concerns: Credit cost spike to 2.2% | NIM compression 49bps | Unsecured concentration ~45%